IN THE NATIONAL COMPANY LAW TRIBUNAL
AHMEDABAD BENCH
DIVISION BENCH
COURT - 1

ITEM No.204

C.P.(CAA)/82(AHM)2022 in
C.A.(CAA)/49(AHM)2022

Order under Section 230-232 of the Companies Act 2013

IN THE MATTER OF:

Norfolk Business Private Limited **.....Applicants**
Saumya Construction Private Limited

Order delivered on 03/07/2023

Coram:

Mr. Shammi Khan, Hon'ble Member (J)
Mr. Kaushalendra Kumar Singh, Hon'ble Member (T)

PRESENT:

For the Applicant :
For the Respondent :

ORDER

The case is fixed for pronouncement of the order. The order is pronounced in the open court, vide separate sheet.

-SD- -SD-

KAUSHALENDRA KUMAR SINGH
MEMBER (TECHNICAL)

SHAMMI KHAN
MEMBER (JUDICIAL)

NATIONAL COMPANY LAW TRIBUNAL
AHMEDABAD BENCH
DIVISION BENCH
COURT-1

CP (CAA) No.82/NCLT/AHM/2022 in
CA(CAA)No.49/NCLT/AHM/2022

[Application under Sections 230-232 of the Companies Act, 2013 read with the Companies (Compromise, Arrangement and Amalgamation) Rules, 2016]

Scheme of Amalgamation
of
Norfolk Business Private Limited
(Transferor Company)

with
Saumya Construction Private Limited
(Transferee Company)
and
Their respective Shareholders and Creditors

In the matter of:

Norfolk Business Pvt. Ltd.
(CIN: U70100GJ2014PTC133735)
A Company incorporated under the provisions of the Companies Act, 1956, having its registered office at : 105, Chinubhai Centre, 1st Floor, Near Nehru Bridge Corner, Ashram Road, Ahmedabad-380 009 ....Petitioner Company (Transferor Company)

Saumya Construction Pvt. Ltd.
(CIN: U70100GJ1986PTC008849)
A Company incorporated under the provisions of the Companies Act, 1956, having its registered office at 1st Floor, "Aditya", Near Khadayata Colony, Ellisbridge, Ahmedabad-380 006 ....Petitioner Company (Transferee Company)

Order Pronounced on: 03.07.2023

Coram: Mr. Shammi Khan-Member (Judicial)
Mr. Kaushalendra Kumar Singh-Member (Technical)

APPEARANCE:
Mr. Saurabh Soparkar, Sr. Advocate, along with Mrs. Swati Soparkar, Advocate for the Applicant Companies.

Mr. Liladhar Sharma, Assistant Director for the Regional Director.

Ms. Maithili Mehta, Advocate for the Income Tax Department.

O R D E R

1. The present joint Company Petition has been filed by the Petitioner Companies under Sections 230-232 of the Companies Act, 2013 read with companies (Compromise, Arrangement and Amalgamations) Rules, 2016 seeking approval of the Scheme of Amalgamation of M/s. Norfolk Business Private Limited (Transferor Company) with M/s. Saumya Construction Private Limited (Transferee Company) with effect from 1st April 2022, being the Appointed Date as mentioned in the Scheme.

2. Affidavits in support of the joint petition has been sworn by Mr. Amit Parikh and Mr. Bhavin Contractor respectively on behalf of the Petitioner Transferor Company and the Petitioner Transferee Company. They are the directors and the authorized representative of the respective Petitioner Companies. The said affidavits are annexed with the application. The above-named authorized representatives for the Petitioner Companies have been authorized vide Board Resolutions dated 18th July 2022 of the respective Petitioner Companies.

3. The Petitioner Companies had filed a joint Company Application before this Tribunal being CA (CAA) No.49 of 2022; sought dispensation of the meetings of the Equity Shareholders, Preference Shareholders and Unsecured Creditors of the Transferor Company as well as sought dispensation of the meetings of the Equity Shareholders, Sole Secured Creditor and Unsecured Creditors of the Transferee Company. Since there was no Secured Creditors in the Transferor Company, it was held that no meeting of the Secured Creditors of the Transferor Company was necessary.

4. By the order dated 23.11.2022, passed in CA (CAA) No.49 of 2022, this Tribunal had directed the Applicant Companies to serve Notice of the Scheme in compliance with Section 230(5) of the Companies Act, 2013 in the Form 'CAA-3' along with disclosures mentioned under Rule 6 to (i) the Central Government through the Regional Director, North Western Region, (ii) the Registrar of Companies, Gujarat, (iii) the Income Tax Authorities; and (iv) the Official Liquidator (in respect of the Transferor Company) stating that representations, if any, to be made within a period of 30 days from the date of receipt of such notice, and in case no representation is received by this Tribunal within the stipulated period of 30 days, it should be presumed that the authorities have no representation to make. In compliance with the order dated 23.11.2022, the Petitioner Companies have served notices to the Central Government through the Regional Director, North-Western Region, the Registrar of Companies, Gujarat, the Income Tax Authorities concerned and the Official Liquidator (in respect of the Transferor Company). The Petitioner Companies have filed affidavit of service dated 30.11.2022.

5. The Petitioner Companies have jointly filed the present Company Petition being CP (CAA) No.82 of 2022 before this Tribunal seeking sanction of the Scheme.

6. This Tribunal by order dated 20.12.2022, admitted the petition and directed for publication of hearing in "Indian Express" in English and Gujarati translation thereof in "Sandesh" both in Ahmedabad edition not less than ten days before the next date of hearing, calling for objections, if any, on or before the date of hearing. This Tribunal also directed to issue a notice of hearing of the petition to (i) Central Government through Regional Director, North-Western Region, (ii) Registrar of Companies, Gujarat (iii) concerned Income Tax Authorities; and (iv) the Official Liquidator.

7. Pursuant to the order dated 20.12.2022 passed by this Tribunal, the Petitioner Companies have published the notice of hearing of the company petition in English daily, "Indian Express", and Gujarati translation thereof in "Sandesh", both in Ahmedbad edition on 28.12.2022. The affidavit of service, on behalf of the Petitioner Companies, dated 05.01.2023, has been filed confirming the publication of the notice in the newspapers as directed and also the notice of hearing of the petition being served upon the concerned statutory authorities.

8. In response to such notices, the Regional director filed its report on 23.12.2022, along with the report from Registrar of Companies. Their observations are as follows:-

(i) The Transferee company is to undertake the compliance of section 232(3)(i) of the Companies Act, 2013 and to pay fees, accordingly.

(ii) The petitioner companies to pay legal fees/cost to the Central Government.

9. The Office of the Official Liquidator also filed a report dated 12th January 2023, seeking directions as follows:-

i) The Transferor Company to preserve its books of accounts, papers and records and shall not dispose them without prior permission of the Central Government as per the provisions of the Section 239 of the Companies Act, 2013.

ii) It has sought the submission of the Amended Clause V of the Memorandum of Association in Post Scheme scenario,

iii) The Transferor Company to ensure statutory compliance of all applicable laws and also on sanctioning of the Scheme, the Transferor Company shall not be absolved from any of its statutory liability, in any manner.

iv) The Transferee Company to pay such cost and expenses to the office of the official liquidator for the transferor company or any such amount as may be considered appropriate by this Bench.

v) The petitioner companies to lodge a certified copy of order along with the Scheme, with the concerned superintendent of stamp duty for determination of stamp duty payable, if any.

10. The Petitioner Companies had filed a common additional affidavit dated 27.01.2023 in response to the said representations of the Regulatory Authorities. It has been submitted in response to the observations of the Regional Director, as follows:-

(i) For differential fees, on consolidation of Authorised Capital, the transferee company gave undertaking for compliance of section 232(3)(i) of the Companies Act, 2013.

(ii) The transferee company gave undertaking to preserve the books of accounts, papers and records of the transferor companies and not to dispose of the same without prior permission of the central govt. as per the provisions of section 239 of the Companies Act, 2013.

(iii) The Transferee Company provided Clause V of its Memorandum of Association in Post Scheme scenario as follows:

"The Authorised Share Capital of the Company is Rs.44,57,50,000/- (Rupees Forty Four Crore Fifty Seven Lakh Fifty Thousand Only) divided into 3,64,65,000 (Three Crore Sixty Four Lakh Sixty Five Thousand) Equity Shares of Rs.10/- (Rupees Ten) each, 8,10,000 (Eight Lakh Ten Thousand) Preference Shares of Rs.10/- (Rupees Ten) each and 73,00,000 (Seventy Three Lakh) unclassified shares of Rs.10/- (Rupees Ten) each."

(iv) The Transferee Company gave undertaking for statutory compliance of all applicable laws and also confirmed that on sanctioning of the scheme, the transferor company shall not be absolved from any of its statutory liability, in any manner.

11. It had been confirmed by the learned advocate for the petitioners that a copy of the said Additional Affidavit in response to the representations have been served upon the Regional Director, the Registrar of Companies, the Office of the Official Liquidator. During the hearing of the matter on 03.05.2023, Mr. Shiv Pal Singh, Asst. Director appearing for the Regional Director confirmed the receipt of the said report and the satisfaction with the submissions, further confirming no objection to the scheme. Similarly, Mr. Suresh Shrivastava, appearing for the Official Liquidator confirmed the receipt of the said report and the satisfaction with the submissions, further confirming no objection to the scheme.

12. Representation was received from the Income Tax Authorities vide representation dated 20th December 2022 for Norfolk, the petitioner Transferor Company. The Assessing Authority of the Transferor Company has not raised any objections to the proposed Scheme and has confirmed that there are no outstanding income tax dues in case of the said Transferor Company.

13. However, the Assessing Authority for M/s. Saumya Construction Pvt. Ltd., the petitioner Transferee Company, has raised several objections vide representation dated 27.12.2022 and reiterated them vide further report dated 02.05.2023. It has been alleged

that the intent behind the proposed Scheme is Tax Evasion and the scheme is prejudicial to the interest of Revenue. The objections are raised on the following grounds:-

(i) Based on detailed analysis of the financial statement of Norfolk, the Transferor Company, the net worth of the Transferor Company is questioned.

(ii) The changes made in the shareholding pattern of Norfolk, the Transferor Company, resulting due to buyback of shares in the month of March 2022 and conversion of debentures into Equity Shares of the Transferor Company, thereby making the Transferor Company, a subsidiary of the Transferee Company has resulted in disproportionate gain to the Transferee Company.

(iii) The Transferee Company has acquired undisputed rights over the assets of the Transferor Company without payment of Capital Gain Tax.

(iv) The transfer of the immovable property of the Transferor Company to the Transferee Company, under the Scheme shall result in loss of revenue to the State Government.

14. The petitioner companies had filed detailed Affidavit dated 4th April 2023 and further affidavit dated 8th June 2023 in response to the observations of the Income Tax Department for M/s. Saumya Construction Pvt. Ltd., the Transferee Company dealing with the said allegations and observations as under:-

(i) The Petitioners have denied the allegations of intent behind the Scheme being Tax Evasion and submitted that the said

allegations made by the concerned Assessing Officer are misconceived, both, in law and in fact.

(ii) The assessing officer has relied upon certain historical facts and actions which are wholly unrelated to the present Scheme of amalgamation. The said actions like conversion of the OFCDs into Equity Shares and transaction of buy back of shares are not proposed under the Scheme as the same had been undertaken prior to the Scheme. It has been submitted that the same will have no bearing on the Scheme of amalgamation. Further, no event or action of past is sought to be exempted from any taxing provision and it will always be open to the Income Tax Dept. to examine every past transaction as and when assessment is being undertaken. Sanction of the Scheme would have no impact on the taxability or otherwise of any transaction of past. Under the circumstances these allegations are irrelevant and should not come in the way of sanctioning Scheme proposed under the provisions of the Companies Act.

(iii) It has been denied that the Scheme results in disproportionate benefit to the Transferee Company. It has been submitted that no objections are raised to the Scheme, by the Assessing Authority of the Transferor Company. In case of the Transferee Company, it will be always open to the Officer to examine every past transaction as and when assessment is being undertaken. Under the Scheme, no event of past is sought to be exempted from any taxing provision.

(iv) It has been further submitted that under the provisions of the Income Tax Act 1961, the transaction of a Scheme of

Amalgamation is tax neutral. Post amalgamation, on subsequent transfer of assets received by the Transferee company from the Transferor company, the Transferee company would have to pay exactly the same tax including the Capital Gain tax, which the Transferor company would have been required to pay if it would have effected the transfer.

(v) The allegation of avoidance of stamp duty for transfer of property under the scheme is also baseless as it is the legitimate benefit arising out of the relevant provisions of the state legislature. The said Stamp Act provisions provide for a lower rate of stamp duty on an instrument sanctioning Scheme of amalgamation though it is to be treated as a conveyance. The Officer of income tax department cannot question the wisdom of the state government. In any case, if this argument is right, no Scheme would ever be sanctioned because effect of every Scheme would be to pay stamp duty not at the rate applicable on conveyance simpliciter (3.5%) but to pay stamp duty on conveyance being Scheme amalgamation (1%).

(vi) The Assessing Officer has sought to reserve liberty to invoke the provisions of the Income Tax Act in any proceedings subsequent to the amalgamation to tax any income arising as a result of the said Scheme of amalgamation. The Petitioners have submitted that it is always open to the authorities under the Income Tax Act to examine taxability or otherwise of any transaction at the stage of assessment proceedings and it is not the case of the Petitioners that sanction of the Scheme would prohibit the income tax

authorities from correctly assessing the income in the relation to anything arising out of Scheme proceedings.

(vii) It is further confirmed by the petitioners, that the Transferee Company shall be liable for any demand already created or become payable due to any of the proceedings related to Income Tax department in future for outstanding demand prior to the present Scheme of Arrangement. The Petitioner Companies have undertaken to abide by all the applicable provisions of the Income Tax Act.

15. In order to substantiate the said submissions of the petitioners, Mr. Saurabh Soparkar, learned Senior Advocate, appearing with Mrs. Swati Soparkar, advocate for the petitioners have submitted a compilation of several decisions of the Ahmedabad Bench and other Benches of the NCLT on the said issue. It is firstly argued that the submissions of the Income Tax Department are factually incorrect and legally unsound. Secondly the emphasis has been on the views expressed by Hon'ble NCLAT as well as Supreme Court in case of appeals filed by the Income Tax Dept. in case of ***Reliance Jio Infocom Limited*** where it has been consistently held that a Scheme of Amalgamation/Demerger should be sanctioned keeping open every right of the Income Tax Department to examine the effect of such Scheme at the stage of assessment. In particular reference is made to the order dated 9th September 2022, of the Hon'ble Apex Court in the case ***Reliance Jio Infocomm Ltd.*** (Civil Appeal Diary No. 16409/2021) where the Hon'ble Apex Court held as follows:-

> " *However, it is required to be noted that in the order passed by the NCLT, the NCLT has already clarified that the Income Tax Dept. will be free to examine the aspect of any tax payable as a result of the sanction of the Scheme and in*

case it is found that the Scheme of Arrangement ultimately results in tax avoidance or is not in accordance with the applicable provisions of Income Tax Act, then the Income Tax Dept. shall be at liberty to initiate appropriate course of action as per law. It is further clarified by the NCLT that any sanction to the scheme of arrangement under Sections 230-232 of the Income Tax Act, 2013 shall not adversely affect the rights of Income Tax Department on any past, present or future proceedings and the same has been reiterated by NCLAT in the impugned judgment and order.

In that view of the above, the apprehension on the part of the Revenue is not well founded.

The NCLT as well as NCLAT have already clarified and protected the rights of Income Tax Department, if any. In view of the above, we see no reason to interfere with the impugned judgment and orders passed by the NCLAT as well as the NCLT."

The submissions of the petitioners are found to be in consonance with the views expressed by the NCLAT as well as the Apex Court.

16. It has been submitted by the Ld. Sr. Counsel appearing for the Petitioner Companies that the Scheme is not against the public policy. It has also been stated that it does not adversely impact any unsecured creditors, and there are no Secured creditors of the petitioner Transferor Company. It has also been submitted that all statutory obligations under all applicable laws shall be complied with.

17. The petitioner companies have already placed on record a copy of the Valuation Report dated 15.07.2022, issued by Ms. Palak Shah, Registered Valuer with the 1st motion Application itself alongwith the detailed working and the basis of the valuation.

18. The Petitioner Companies have stated in the Petition that no inspection or investigation has been instituted or is pending

against any of the petitioner companies under the provisions of the Companies Act, 2013. It was also stated that if there is any deficiency found, or violation committed of any enactment, statutory rules or regulations, the sanction granted by the Tribunal to the scheme will not come in the way of action being taken in accordance with law, against the concerned persons, directors and officials of the petitioner companies.

19. In compliance with the proviso to clause (e) of sub-section (7) of Section 230 of the Companies Act, 2013, certificate from the statutory auditors of both the Petitioner Companies dated 27.07.2022 are placed on record confirming that the accounting treatment as proposed under the Scheme is in conformity with the applicable Accounting Standards prescribed under section 133 of the Companies Act, 2013.

20. On the basis of above the facts and submissions made by the learned counsel and by considering the entire facts and circumstances of the aforesaid company petition and on perusal of the Scheme and the proceedings, it appears that the requirements of the provisions of Sections 230 and 232 are satisfied by the petitioner companies. We are of the considered view that the proposed Scheme of Amalgamation is bona fide and in the interest of the shareholders and creditors. In the result, Company Petition No. CP (CAA) No. 82 of 2022 is allowed. The Scheme envisages amalgamation of M/s.Norfolk Business Private Limited (the Transferor Company) with M/s. Saumya Construction Private Limited (the Transferee Company). It is declared that the said sanctioned scheme shall be binding on the petitioner companies

and their shareholders, creditors and all concerned under the scheme.

21. Notwithstanding the above, if there is any deficiency found or, violation committed qua any enactment, statutory rule or regulation, the sanction granted by this Tribunal to the scheme will not come in the way of action being taken, albeit, in accordance with law, against the concerned persons, directors and officials of the petitioners.

22. While approving the Scheme as above, we further clarify that this order should not be construed as an order in granting any exemption from payment of stamp duty, taxes including income tax, GST etc. or any other charges, if any, and payment in accordance with law or in respect of any permission/compliance with any other requirement which may be specifically required under any law. It is further clarified that Income Tax Department will be free to examine the aspect of any tax payable as a result of the sanction of the Scheme and sanction of the Scheme of Amalgamation given hereunder shall not adversely affect the rights of Income Tax Department on any past, present or future proceedings.

23. This Tribunal orders as under:-

(i) The Scheme of Arrangement as annexed herewith as **"Annexure A"** is hereby sanctioned and it is declared that the same shall be binding on the Petitioner Companies and their Shareholders and Creditors and all concerned under the Scheme.

(ii) It is declared that the Transferor Company shall be dissolved without winding up.

(iii) All the property annexed herewith as **"Annexure B"**, right and powers of the Transferor Company specified in the schedule hereto and all the other property, rights and powers of the Transferor Company be transferred without further act or deed to the Transferee Company and accordingly the same shall pursuant to Section 232 of the Act, be transferred to and vested in the Transferee Company for all the estates and interest of the Transferor Company therein.

(iv) All proceedings, if any, now pending against the Transferor Companies be continued by or against the Transferee Company.

(v) The Petitioner Companies within thirty days of the date of receipt of this order, cause a certified copy of this order to be delivered to the Registrar of Companies for registration and on such certified copy being so delivered, the entire Undertaking of the Transferor Company shall stand transferred to the Transferee Company and the Registrar of Companies shall place all documents relating to the Transferor Company to the file kept by him in relation to the Transferee Company and the files relating to the said companies shall be treated accordingly.

(vi) Upon this Scheme becoming effective and in consideration for amalgamation of Transferor Company with the Transferee Company, the Transferee Company shall without any further application or deed, issue and allot

shares, credited as fully paid-up, to the extent indicated below to the Equity Shareholders of Transferor Company, holding fully paid-up Equity shares and whose name appear in the register of members, on the date as may be decided by the Board of Directors of the Transferee Company, or to such of their respective heirs, executors, administrators or other legal representatives or other successors in title as may be recognized by the respective Board of Directors, in the following proportion:

"38 (Thirty Eight) fully paid up equity shares of Rs.10/- (Rupees Ten Only) each of Saumya-the Transferee Company shall be issued and allotted at par for every 1000 (One Thousand) fully paid up equity shares of Rs. 10/- (Rupees Ten only) each held in Norfolk-the Transferor Company".

(vii) Upon Scheme being effective, the Authorised Capital of the Transferor Company shall be consolidated with the Authorised Capital of the Transferee Company.

(viii) All concerned Authorities to act on copy of this order along with the Scheme authenticated by the Registrar of this Tribunal shall issue the certified copy of this order along with the Scheme.

(ix) The Petitioner Companies are directed to lodge a copy of this Order and the approved Scheme and Schedule of Assets attached as Annexure-B with this order, duly authenticated by the Registrar of this Tribunal, with the

concerned Superintendent of Stamps, for the purpose of adjudication of stamp duty, if any, within 60 days from the date of the Order.

(x) The Petitioner Companies are further directed to file a copy of this order along with the copy of the Scheme with the concerned the Registrar of Companies, electronically, along with e-form INC-28 in addition to physical copy within 30 days from the date of issuance of the certified copy of the Order by the Registry as per relevant provisions of the Act.

(xi) The legal fees and expenses of the office of the Regional Director are quantified at Rs.10,000/- each in respect of the Petitioner Companies. The said fees to the Regional Director shall be paid by the Transferee Company.

(xii) The legal fees and expenses of the office of the Official Liquidator are quantified at Rs.10,000/- in respect of the Transferor Company. The said fees of the Official Liquidator shall be paid by the Transferee Company.

(xiii) Filing and issuance of drawn up orders are dispensed with. All concerned authorities to act on a copy of this order along with the Scheme duly authenticated by the Registrar of this Tribunal. The Registrar of this Tribunal shall issue the authenticated copy of this order alongwith Scheme immediately.

(xiv) Any person aggrieved shall be at liberty to apply to the Tribunal in the above matter for any direction that may be necessary.

(xv) The Income Tax Department will be free to examine the aspect of any tax payable as a result of the sanction of the Scheme and if it is found that the Scheme of Arrangement ultimately results in tax avoidance or is not in accordance with the applicable provisions of Income Tax Act, then the Income Tax Dept. shall be at liberty to initiate appropriate course of action as per law. Any sanction of the Scheme of Arrangement under Sections 230-232 of the Income Tax Act, 2013 shall not adversely affect the rights of Income Tax Department or any past, present or future proceedings and the sanction of the scheme shall not come in its way for the appropriate course of action as per law for the tax liabilities, if any.

24. The Company Petition CP (CAA) No. 82 of 2022 connected with CA (CAA) No. 49 of 2022 is disposed of.

-SD- -SD-

KAUSHALENDRA KUMAR SINGH
MEMBER (TECHNICAL)

SHAMMI KHAN
MEMBER (JUDICIAL)

Sudha-Steno

Annexure "A"

ANNEXURE - E

153

SCHEME OF ARRANGEMENT

IN THE NATURE OF AMALGAMATION

OF

NORFOLK BUSINESS PRIVATE LIMITED

WITH

SAUMYA CONSTRUCTION PRIVATE LIMITED

AND

THEIR RESPECTIVE SHAREHOLDERSAND CREDITORS

A. Preamble:

This Composite Scheme of Arrangement ("the Scheme") is presented under Sections 230 to 232 and other applicable provisions, if any, of the Companies Act, 2013 and the rules and regulations thereunder and involves Amalgamation of **Norfolk Business Private Limited ("Norfolk")** having **CIN: U70100GJ2014PTC133735,**the Transferor Company with Saumya Construction Private Limited (**"Saumya"**) having **CIN: U70100GJ1986PTC008849**, the Transferee Company. Norfolk is engaged in the business of trading of textiles and related products and Saumya is engaged in Real Estate business.

This Scheme also provides for various other matters consequential or otherwise integrally connected therewith.

B. Background of the Companies:

Norfolk Business Private Limited (**"Norfolk"** Or **"Transferor Company"**), is a private limited company incorporated under the provisions of the Companies Act, 1956. The Registered Office of the company is situated at 105 Chinubhai Centre, 1st Floor, Near Nehru Bridge Corner, Ashram Road, Ahmedabad 380009 in the state of Gujarat. It is engaged in the business of trading of textiles and related products.

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Saumya Construction Pvt. Ltd. Ahmedabad

Saumya Construction Private Limited ("**Saumya**" Or "**Transferee Company**") is a private limited company incorporated under the provisions of the Companies Act, 1956. The Registered Office of the company is situated at 1st Floor, "Aditya", Near Khadayata Colony, Ellisbridge, Ahmedabad 380006 in the state of Gujarat. It is engaged in Real Estate Business in the state of Gujarat.

C. Rationale The Scheme:

Norfolk is a subsidiary company of Saumya and both are closely held companies with majority of the shares being held by same set of shareholders. Further, Norfolk has substantial investment which can be profitably exploited by Saumya, who has long experience and firmly established in real estate business. The proposed amalgamation is expected to benefit Norfolk and Saumya and all the stakeholders as it would:

i. reduce the number of companies in the same group;
ii. achieve administrative and cost efficiency; and
iii. have focused management and administration.

1. Definitions:

In this Scheme (as defined hereunder), unless inconsistent with the subject or context, the following expressions shall have the following meaning:

1.1. **"Act" or "The Act"** means the Companies Act, 2013, the rules and regulations made thereunder and will include any statutory modification or re-enactment thereof for the time being in force

1.2. **"Appointed Date"** shall mean 1stApril 2022 or such other date as may be approved by the Central Government, Regional Director (WR) or National Company Law Tribunal (NCLT), Ahmedabad Bench or such other competent authority.

1.3. **"Board" or "Board of Directors"** shall mean the Board of Directors of Transferor Company and / or Transferee Company, as the case may be, and shall, unless it is repugnant to the context or otherwise, include a committee of Directors or any person authorized by the Board of Directors.

1.4. **"Effective Date"** shall mean the last of such dates on which the certified copy of the order confirming this Scheme of Amalgamation under Section 230 – 232 of the Companies Act, 2013 or the Order of the National Company Law Tribunal is filed with the Registrar of Companies, Gujarat at Ahmedabad. This Scheme of Amalgamation shall be effective from Appointed Date.

1.5. **"NCLT" or "Tribunal"** means the National Company Law Tribunal, Ahmedabad Bench as constituted and authorized as per the provisions of the Act;

1.6. **"Scheme"** or **"the Scheme"** or **"this Scheme"** means the Scheme of Amalgamation and Arrangement in its present form (along with any annexures, schedules, etc., annexed/attached hereto) or with any modification(s) and amendment(s) made under Clause 14 of this Scheme from time to time and with appropriate approvals and sanctions granted or directed by the Tribunal or such other competent authority, as may be required under the Act, as applicable, and under all other applicable laws;

1.7. **"Transferor Company", OR "Norfolk"** means Norfolk Business Private Limited, a Company incorporated on 15thMarch, 2014 under the provisions of The Companies Act, 1956 having its Registered Office at 105 Chinubhai Centre, 1st Floor, Near Nehru Bridge Corner, Ashram Road, Ahmedabad 380 009 in the State of Gujarat.

1.8. **"Transferee Company" or "Saumya"** means Saumya Construction Private Limited, a Company incorporated on 04th August, 1986 under the provisions of the Companies Act, 1956 having its Registered Office at 1st Floor "Aditya", Near Khadayata Colony, Ellisbridge, Ahmedabad 380006 in the state of Gujarat;

1.9. **"Undertaking of Transferor Company"** mean and include the undertaking of the Transferor Company comprising of all assets, investments and liabilities on a going concern basis and shall include (without limitation) the following:

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NORFOLK BUSINESS PRIVATE LIMITED AHMEDABAD

Saumya Construction Pvt. Ltd. Ahmedabad

(a) All the assets and properties of the Transferor Company including, without limitation, offices, plants and machineries, equipment, interests, capital work-in-progress, installations, appliances, tools, accessories, freehold, leasehold and any other title, interests or rights in such immovable assets, buildings and structures, offices, furniture, fixtures, office equipment, computers, recorded or unrecorded goodwill and other intangible assets and all stocks on the Appointed Date;

(b) All the debts, liabilities, duties and obligations of the Transferor Company as on the Appointed Date both present and future, whether provided for or not in the books of accounts or disclosed in the balance sheet, whether secured or unsecured, all guarantees, assurances, commitments and obligations of any kind, nature or description, whether fixed, contingent or absolute, asserted or not asserted, matured or not matured, liquidated or unliquidated, accrued or not accrued, known or unknown, due or to become due, whenever or however arising pertaining to the Transferor Company;

(c) Without prejudice to the generality of sub–clause(a) and (b) above, the Undertaking of the Transferor Company shall include:

(i) All movable and immovable properties, assets, including leasehold rights, tenancy rights, industrial and other licenses, registrations, permits, authorizations, trademarks, copyrights, patents and other industrial and intellectual properties, electrical connections, telephones, telex, facsimile and other communication facilities and equipment, rights and benefits of all agreements, pending applications and all other interests, rights and powers of every kind, nature and description whatsoever, privileges, liberties, easements, advantages, benefits and approvals of the Transferor Company;

(ii) All current assets including inventories; sundry debtors, receivables, cash and bank accounts (including bank balances), fixed deposits, loans and advances, actionable

claims, bills of exchanges and debit notes of the Transferor Company;

(iii) All agreements, contracts, arrangements, understandings, engagements, deeds and instruments including lease/license agreements, tenancy rights, equipment purchase agreements, and other agreements with the customers, purchase and other agreements/contracts with the suppliers/manufacturers of goods/service providers and all rights, titles, interests, claims and benefits there under of the Transferor Company;

(iv) All application monies, advance monies, earnest monies and/or security deposits paid or deemed to have been paid and payments against other entitlements of the Transferor Company;

(v) All intellectual property rights (including applications for registrations of the same and the rights to use such intellectual property rights), trade and service names and marks, patents, copyrights, and other intellectual property rights of any nature whatsoever, trade secrets, confidential information, domain names, books, records, files, papers, software licenses (whether proprietary or otherwise), data, and all other records and documents, whether in physical or electronic form relating to the business activities and operations of the Transferor Company;

(vi) All employees of the Transferor Company.

It is clarified that all debts, loans and liabilities, duties and obligations of the Transferor Company as on the Appointed Date and all other liabilities which may accrue or arise after the Appointed Date but which relate to the period on or up to the day of the Appointed Date and all liabilities which may accrue or arise after the Appointed Date for the period till the Effective Date, shall be the debts, loans and liabilities, duties and obligations of the Transferee Company including any encumbrance on the assets of the Transferor Company or on any income earned from those assets.

All terms and words not defined in this Scheme shall, unless repugnant or contrary to the context or meaning thereof, have the same meaning ascribed to them under the Act, other applicable laws, rules, regulations, bye-laws, as the case may be or any statutory modification or re-enactment thereof from time to time.

2. Date of taking effect and operative date:

The Scheme set out herein in its present form or with any modification(s) approved or imposed or directed by the Tribunal or made as per Clause 14 of the Scheme, shall be effective from the Appointed Date but shall be operative from the Effective Date.

3. Share Capital:

3.1 The Authorized, Issued, Subscribed and Paid – up Share Capital of the Transferor Company, i.e. Norfolk Business Private Limited on30.06.2022is as under:

Capital Structure of the Company	
Share Capital	**Amounts in Rs.**
Authorized Share Capital	
52,60,000 Equity Shares of Rs.10/- each	5,26,00,000
4,00,000 Preference Share of Rs. 10/- each	40,00,000
73,00,000 Unclassified Shares of Rs. 10/- each	7,30,00,000
TOTAL	**12,96,00,000**
Issued, Subscribed and Paid-up Share Capital	
49,13,500 Equity Shares of Rs.10/- each	4,91,35,000
1,15,962 - 8% Redeemable Non-cumulative & Non-convertible Preference Share of Rs. 10/- each	11,59,620
TOTAL	**5,02,94,620**

3.2 The Authorized, Issued, Subscribed and Paid-up share capital of the Transferee Company, i.e. Saumya Construction Private Limited as on 30.06.2022 is as under:

NORFOLK BUSINESS PRIVATE LIMITED AHMEDABAD

Saumya Construction Pvt. Ltd. Ahmedabad

Capital Structure of the Company	
Share Capital	**Amounts in Rs.**
Authorized Share Capital	
3,12,05,000 Equity Shares of Rs. 10/- each	31,20,50,000
41,000 8% Non – Cumulative Redeemable Preference Shares of Rs. 100/- each	41,00,000
TOTAL	**316,150,000**
Issued, Subscribed and Paid-up Share Capital	
6,23,635 Equity Shares of Rs. 10/- each	62,36,350
TOTAL	**62,36,350**

Subsequent to 30.06.2022 and till the date of the Scheme being approved by the Board of Directors of the Transferor Company and the Transferee Company, there has been no change in the authorized, issued, subscribed and paid – up capital mentioned above.

4. Transfer and Vesting:

4.1 Upon coming into effect of this Scheme and with effect from the Appointed Date and in accordance with provisions of Section 2(1B) of the Income Tax Act, 1961 and subject to the provisions of the Scheme, the entire business(es) and whole of the undertaking of Transferor Company including all properties and assets (whether movable or immovable, tangible or intangible) of whatsoever nature such as licenses, permits, trademarks, quotas, investments, approvals, lease, tenancy rights, permissions, incentives, if any, and all other rights, titles, interests, certificates, registrations under various legislations, contracts, consents, approvals or powers of every kind, nature and descriptions whatsoever shall under the applicable provisions of the Act and pursuant to the orders of the Tribunal and without any further act, instrument or deed, but subject to the existing charges affecting the same as on the Effective Date be transferred and/or deemed to be transferred to and vested in the Transferee Company so as to become the properties and assets of the Transferee Company.

4.2 Without prejudice to Clause 4.1 above, in respect of such of the assets of Transferor Company as are movable in nature or are otherwise capable of transfer by manual delivery or by endorsement and/or delivery, the same shall be so vested by Transferor Company and shall, upon such transfer, become the properties, estates, assets, rights, titles, interests and authorities of the Transferee Company by way of physical delivery or novation. The moveable assets, other than those specified in this Clause 4.2 including intangible assets, actionable claims, trademarks, sundry debtors, outstanding loans and advances, if any, recoverable in cash or in kind or for value to be received, bank balances and deposits including deposits paid in relation to outstanding litigations, if any, with Government, semi – Government, local and other authorities and bodies, customers and other persons, shall, without any further act, instrument or deed, be transferred to and vested into as the property of the Transferee Company. The Transferee Company may, if required, give notice in such form as it may deem fit and proper to each person or debtor that, pursuant to the Scheme, the said person or debtor should pay the debt, loan or advance or make good the same or hold the same to its account and that the right of the Transferee Company to recover or realise the same is in succession of the right of Transferor Company and that appropriate entry should be passed in their respective books to record the aforesaid changes.

4.3 Without prejudice to any of the Clauses above, with effect from the Appointed Date and upon the Scheme becoming effective, all immoveable properties, including land together with buildings and structure standing thereon, whether freehold or leasehold, relating to Transferor Company and any documents of title, rights, interests, claims, including leases, licenses and easements in relation thereto, shall, pursuant to the applicable provisions of the Act and the Scheme, without any further act, instrument, deed, matter or thing, stand transferred to and vested into the Transferee Company, as of the Appointed Date. The mutation of the title to the immoveable properties shall be made and duly recorded by the appropriate authorities pursuant to the sanction of the Scheme and upon the Scheme becoming effective, in accordance with the terms hereof, in favor of the Transferee Company.

4.4 The transfer and / or vesting as aforesaid shall be subject to the existing charges, hypothecation and mortgages, if any, as may be subsisting and agreed to be created over or in respect of the said assets or any part thereof, provided however, that any reference in any security documents or arrangements, to which the Transferor Company is a party wherein the assets of the Transferor Company have been or are offered or agreed to be offered as security for any financial assistance or obligations shall be construed as reference only to the assets pertaining to the Transferor Company and vested in the Transferee Company by virtue of this Scheme to the end and intent that the charges shall not extend or be deemed to extend to any of the assets of the Transferee Company.

Provided that the Scheme shall not operate to enlarge the security for the said liabilities of Transferor Company which shall vest in the Transferee Company by virtue of the Scheme and the Transferee Company shall not be obliged to create any further or additional security thereof after the Scheme has become effective or otherwise. The transfer /vesting of the assets of Transferor Company as aforesaid shall be subject to the existing charges /hypothecation /mortgages over or in respect of the assets or any part thereof of Transferor Company.

4.5 All debts, liabilities, duties and obligations of whatsoever nature of Transferor Company shall also, without any further act, instrument or deed be transferred to and vested in and assumed by the Transferee Company pursuant to the provisions of Section 230 to 232 and all other applicable provisions of the Act, so as to become the debts, liabilities, duties and obligations of the Transferee Company and further that it shall not be necessary to obtain consent of any third party or other person who is a party to the contract or arrangement by virtue of which such debts, liabilities, duties and obligations have arisen, in order to give effect to the provisions of this Clause.

4.6 The Transferee Company may at any time after the coming into effect of the Scheme in accordance with the provisions of the Scheme, if so required, under any law or otherwise, execute Deeds of Confirmation, in favour of the creditors of Transferor Company or in favour of any

other party to any contract or arrangement to which Transferor Company is a party or any writings as may be necessary to be executed in order to give formal effect to the above provisions. The Transferee Company shall under the provisions of the Scheme be deemed to be authorised to execute any such writings on behalf of Transferor Company and to implement or carry out all such formalities or compliance referred to above on the part of Transferor Company to be carried out or performed.

4.7 With effect from the Appointed Date and upon the Scheme becoming effective, all development rights, statutory licenses, permissions, approvals or consents, if any, to carry on the operations and business of Transferor Company shall stand vested in or transferred to the Transferee Company without any further act or deed and shall be appropriately mutated by the statutory authorities concerned in favour of the Transferee Company. The benefit of all statutory and regulatory permissions, environmental approvals and consents, registrations or other licenses and consents shall vest in and become available to the Transferee Company pursuant to this Scheme.

4.8 This part of the Scheme has been drawn up to comply with the conditions relating to "Amalgamation" as specified under Section 2 (1B) of the Income Tax Act, 1961. If any terms or provisions of the Scheme are found or interpreted to be inconsistent with the provisions of the said Section of the Income Tax Act, 1961, at a later date including resulting from an amendment of law or for any other reason whatsoever, the provisions of the said section of the Income Tax Act, 1961, shall prevail and the Scheme shall stand modified to the extent determined necessary to comply with Section 2 (1B) of the Income Tax Act, 1961. Such modification will however not affect the other parts of the Scheme.

4.9 Further, any tax holiday/deduction/exemption enjoyed by Transferor Company under Income Tax Act, 1961 would be transferred to and available to the Transferee Company. Carried forward losses including carried forward business losses and unabsorbed depreciation of Transferor Company under Income Tax Act, 1961 would be transferred to and available to the Transferee Company for set off etc., as provided

for in Section 72A and other applicable provisions of the Income Tax Act, 1961.

4.10 The resolutions, if any, of the Transferor Company, which are valid and subsisting on the Effective Date, shall be continued to be valid and subsisting and be considered as resolutions of the Transferee Company and if any such resolutions have upper monetary or other limits being imposed under the provisions of the Act, or any other applicable provisions, then the said limits shall be added and shall constitute the aggregate of the said limits in the Transferee Company.

4.11 Without prejudice to the above provisions, with effect from the Appointed Date, all inter-party transactions, if any, between the Transferor Company and the Transferee Company shall be considered as intra-party transactions for all purposes from the Appointed Date.

4.12 The investments held in physical form will be transferred to Transferee Company by handing over the instrument along with transfer deed.

4.13 The investments held in dematerialized form will be transferred to the Transferee Company by issuing appropriate delivery instructions to the depository participant with whom the Transferor Company has an account. Such delivery and transfer shall be made on a date mutually agreed upon between the respective Boards of Directors of the Transferee Company and the Transferor Company, being a date after the sanction / registration of the Scheme, as the case may be, by the Central Government.

5. <u>Contract, Deeds Bonds and other Instruments:</u>

5.1 Subject to other provisions contained in the Scheme, all contracts, deeds, bonds, insurance, letters of intent, undertakings, agreements, arrangements, policies and other instruments, if any, of whatever nature pertaining to the Transferor Company, which is subsisting or having effect as on the Effective Date, shall remain in full force and effect against or in favour of the Transferee Company, and may be enforced as fully and as effectually as if , instead of the Transferor

Company, the Transferee Company had been a party or beneficiary thereto.

5.2 The Transferee Company and /or the Transferor Company shall enter into and/or issue and /or execute deeds, writings or confirmations or enter into any arrangements, confirmations or novations in order to give formal effect to the provisions of this Scheme wherever necessary. The Transferee Company shall, under the provisions of this Scheme, be deemed to be authorised to execute any such deeds, writings or confirmations on behalf of the Transferor Company and to implement or carry out all such formalities or compliances required on the part of the Transferor Company to give effect to the provisions of this Scheme.

6. Legal Proceedings

6.1 All legal proceedings of whatsoever nature by or against the Transferor Company pending and/or arising up to the Appointed Date shall be continued and/or enforced until the Effective Date by the Transferor Company. In the event of the Transferor Company failing to continue or enforce any legal proceeding, the same may be continued or enforced by the Transferee Company, at its own cost. As and from the Effective Date, the legal proceedings shall be continued and enforced by or against the Transferee Company in the same manner and to the same extent as would or might have been continued and enforced by or against the Transferor Company.

6.2 Further, the aforementioned proceedings shall not abate or be discontinued nor be in any manner prejudicially affected by reason of the amalgamation of the Transferor Company with the Transferee Company or anything contained in the Scheme.

6.3 On and from the Effective Date, the Transferee Company shall and may, if required, initiate any legal proceedings in relation to the Transferor Company in the same manner and to the same extent as would or might have been initiated by the Transferor Company.

6.4 After the Appointed Date, if any proceedings are taken against the Transferor Company above, the same shall be defended by and at the cost of the Transferee Company.

6.5 The transfer of assets, properties and liabilities under Clause 4 above and the continuance of proceedings by or against Transferor Company under this Clause 6 shall not affect any transaction or proceedings already concluded by Transferor Company on and after the Appointed Date till the Effective Date, to the end and intent that the Transferee Company accepts and adopts all acts, deeds and things done and executed by on behalf of the Transferee Company

7. Employees of the Transferor Company:

7.1 Upon the Scheme coming into effect, all staff and employees, if any, of the Transferor Company in service on the Effective date shall be deemed to have become staff and employees of the Transferee Company without any break in their service and the terms and conditions of their employment with the Transferee Company shall not be less favourable than those applicable to them as staff and employees of the Transferor Company on the Effective Date.

7.2 It is expressly provided that, in so far as the Gratuity Fund, Provident Fund, Superannuation Fund or any other Special Scheme(s)/Fund(s) (hereinafter referred as "Fund or Funds") created or existing for the benefit of the staff and employees of Transferor Company is concerned, upon the Scheme coming into effect, the Transferee Company shall stand substituted for the Transferor Company for all purposes whatsoever, in relation to the administration, management or operation of such Fund or Funds or in relation to the obligation to make contributions to the said Fund or Funds in accordance with the provisions thereof as per the terms provided in the respective Fund or Funds, if any, to the end and intent that all rights, duties, powers and obligations of the Transferor Company in relation to such Fund or Funds shall become those of the Transferee Company and all the rights, duties and benefits of the staff and employees of the Transferor Company under such Fund or Funds shall be protected, subject to the provisions of law for the time being in force. It is clarified that the

services of the staff and employees of the Transferor Company will be treated as having been continuous for the purpose of the said Fund or Funds.

7.3 In so far as the Fund or Funds created or existing for the benefit of the staff and employees, if any, of the Transferor Company is concerned, upon the coming into effect of this Scheme, balances lying in the accounts of the staff and employees of Transferor Company in the said Fund or Funds as on the Effective Date shall stand transferred from the respective Fund or Funds of Transferor Company to the corresponding Fund or Funds set up by the Transferee Company without any loss of interest.

8. Conduct of Business by Transferor Company till the Appointed Date:

With effect from the Appointed Date and up to and including the Effective Date:

8.1 The Transferor Company shall carry on and shall be deemed to have carried on all its business and activities as hitherto and shall hold and stand possessed of and shall be deemed to have held and stood possessed of the properties, assets, liabilities and Undertaking of the Transferor Company on account of, and for the benefit of and in trust for, the Transferee Company.

8.2 All the profits or income accruing or arising to the Transferor Company, and all expenditure or losses, if any, arising or incurred or suffered (including all taxes, if any, paid or accruing in respect of any profits and income) by the Transferor Company shall, for all purposes, be treated and be deemed to have accrued as the profits or income or, expenditure or losses, as the case may be, (including taxes) of the Transferee Company.

8.3 The Transferor Company shall carry on its business activities with reasonable diligence, business prudence and shall not, without the written consent of the Transferee Company, alienate, charge, mortgage, encumber, or otherwise deal with the said assets or any part thereof except in the ordinary course of its business and except pursuant to

any pre-existing obligation undertaken by the Transferor Company prior to the Appointed Date.

8.4 The Transferor Company shall not utilise the profits or income, if any, for the purpose of declaring or paying any dividend or for any other purpose in respect of the period from and after the Appointed Date, without the prior written consent of the Transferee Company.

8.5 The Transferor Company shall not, without the written consent of the Transferee Company, undertake any new business. The Transferor Company shall not vary the terms and conditions of its employees except in the ordinary course of business.

8.6 Any of the rights, powers, authorities, entitlements, accounts and privileges attached or related or pertaining to and exercised by or available to the Transferor Company shall be deemed to have been exercised by the Transferor Company for and on behalf of and as an agent for the Transferee Company. Similarly, any of the obligations, duties and commitments attached, related or pertaining to the Transferor Company that have been undertaken or discharged by the Transferor Company shall be deemed to have been undertaken or discharged for and on behalf of and as an agent for the Transferee Company.

9.Issue of Shares by Transferee Company:

9.1 Upon this Scheme becoming effective and in consideration for amalgamation of Transferor Company with the Transferee Company, the Transferee Company shall without any further application or deed, issue and allot shares, credited as fully paid-up, to the extent indicated below to the Equity Shareholders of Transferor Company, holding fully paid-up Equity shares and whose name appear in the register of members, on the date as may be decided by the Board of Directors of the Transferee Company, or to such of their respective heirs, executors, administrators or other legal representatives or other successors in title as may be recognized by the respective Board of Directors, in the following proportion:

i) *"38 (Thirty Eight) fully paid up equity shares of Rs. 10/- (Rupees Ten Only) each of Saumya–the Transferee Company shall be issued and allotted at par for every 1000 (One Thousand) fully paid up equity shares of Rs. 10/- (Rupees Ten only) each held in Norfolk–the Transferor Company".*

9.2 The Share Exchange Valuation Report dated July 15, 2022 have been obtained from Ms. Palak Shah, a Registered Valuer, having IBBI Registration No IBBI/RV/06/2020/13600 providing the share exchange ratio for the amalgamation of Transferor Company with the Transferee Company under the Scheme.

9.3 The Transferee Company holds 24,63,500 Equity shares of Rs.10/- each of the Transferor Company. It also holds the entire Preference Share Capital being 1,15,962– 8% Redeemable Non-cumulative and Non-convertible Preference Shares of Rs.10/- each, of the Transferor Company. Upon the Scheme becoming effective, no shares of the Transferee Company shall be allotted in lieu or exchange of such equity and preference shares of Transferor Company held by the Transferee Company and they shall stand cancelled as a consequence of the Scheme by operation of law.

9.4 The shares to be issued by the Transferee Company to the shareholders of the Transferor Company shall be subject to the Scheme and the Memorandum and Articles of Association of the Transferee Company and shall rank *pari passu* in all respects with the then existing shares of Transferee Company.

9.5 Upon the equity shares being issued and allotted to the shareholders of the Transferor Company, the shares held by the shareholders of the Transferor Company, shall be deemed to have been automatically cancelled and be of no effect, without any further act, deed or instrument.

9.6 Approval of this Scheme by the shareholders of the Transferee Company shall be deemed to be the due compliance of the provisions of Section 62 of the Companies Act, 2013, and the other relevant and applicable provisions of the Act for the issue and allotment of equity shares by the

Transferee Company to the shareholders of Transferor Company, as provided in this Scheme.

9.7 The approval of this Scheme by the shareholders of the Transferee Company under the Act shall be deemed to have the approval under Sections 13, 14 and other applicable provisions of the Act and the relevant provisions in the Articles of Association of the Transferee Company and any other consents and approvals required in this regard.

10. Accounting Treatment in the Books of the Transferee Company:

Upon the Scheme being effective, the Transferee Company shall account for amalgamation in its books as per "The Pooling of Interests Method" of accounting as prescribed in Accounting Standard 14 - "Accounting for Amalgamations" (AS – 14) as under:

10.1 All the assets and liabilities of the Transferor Company transferred to and vested in the Transferee Company shall be recorded as per its carrying amount and in the same form as appearing in the books of the Transferor Company

10.2 The identity of the reserves of the Transferor Company shall be preserved and they shall appear in the financial statements of the Transferee Company in the same form and manner, in which they appeared in the financial statements of the Transferor Company, prior to this Scheme becoming effective. Accordingly, if prior to this Scheme becoming effective, there is any reserve in the financial statements of the Transferor Company available for distribution whether as bonus shares or dividend or otherwise, the same shall also be available in the financial statements of the Transferee Company for such distribution upon this Scheme becoming effective;

10.3 The balances of the Profit and Loss Accounts of the Transferor Company (as appearing in the books of accounts of the Transferor Company at the Appointed Date) shall be aggregated and added to or set-off (as the case may be) with the corresponding balance appearing in the financial statements of the Transferee Company;

10.4 The difference between the amount of share capital to be issued by the Transferee Company and the amount of paid up share capital (equity and preference) of Transferor Companies shall be added to/adjusted against the General Reserves of the Transferee Company.

10.5 The Transferee Company shall record in its books of account, all transactions of Transferor Company in respect of the assets, liabilities, income and expenses, from the Appointed Date to the Effective Date. Any inter – company payables or receivables (including loans, advances, debtors, investments etc.) shall be and stand cancelled and accordingly, the Transferee Company shall not record any of such payables or receivables in its books of account;

10.6 If considered appropriate for the purpose of application of uniform accounting methods and policies between Transferor Company and the Transferee Company, the Transferee Company may make suitable adjustments and reflect the effect thereof in its reserves.

11.RESTRUCTURE AND CONSOLIDATION OF AUTHORISED SHARE CAPITAL AND AMENDMENT OFMEMORANDUM OF ASSOCIATION OF THE TRANSFEREE COMPANY:

11.1 Upon the Scheme becoming effective and with effect from the Appointed date, the Authorised Capital of the Transferor Company shall be consolidated with the Authorised Capital of the Transferee Company without any further act, instrument or deed on the part of the Transferee Company.For this purpose, the fees and stamp duty already paid by the Transferor Company on its authorized share capital shall be set off against the increased share capital of the Transferee Company, and shall be deemed to have been so paid by the Transferee Company on such combined authorised share capital.

11.2 Upon the Scheme becoming effective and with effect from the Appointed date 41,000 -8% Non-Cumulative Redeemable Preference Shares of Rs.100/- each forming part of Authorised Share Capital of the Transferee Company shall stand restructured and reclassified as 4,10,000 Preference Shares of Rs.10/- each.

NORFOLK BUSINESS PRIVATE LIMITED AHMEDABAD

Shilpa Construction Pvt. Ltd. Ahmedabad

11.3 Upon this Scheme being effective, the said consolidated Authorised Capital of the Transferee Company shall amount to Rs. 44,57,50,000/- comprised of:

i. 3,64, 65,000 Equity Shares of Rs. 10/- each;

ii. 8,10,000 Preference Shares of Rs.10/- each and

iii. 73,00,000 unclassified shares of Rs.10/- each

11.4 Clause V of the Memorandum of Association of the Transferee Company, shall without any act, instrument or deed be and stand altered, modified and amended to the required extent pursuant to the applicable provisions of the Act.

11.5 Under the accepted principle of Single Window Clearance, it is hereby provided that the aforesaid alteration in the Memorandum and Articles of Association of the Transferee Company referred above, shall become operative on the Scheme being effective by virtue of the fact that the Shareholders of the Transferee Company, while approving the Scheme as a whole, by virtue of written consent letters, have also resolved and accorded the relevant consents as required respectively under Section 13, 14, 61 & 64 of the Companies Act, 2013 or any other provisions of the Act and shall not be required to pass separate resolutions as required under the Act.

12. Dissolution of the Transferor Company:

On the Scheme being sanctioned by the Central Government or NCLT as the case may be, the Transferor Company shall stand dissolved automatically without winding up process in accordance with provisions of the Act.

13. Application to the Tribunal:

The Transferee Company and the Transferor Company as may be directed by the Tribunal shall make all necessary application and petition, either singly or jointly, under applicable provisions of the Act, for seeking approval of the Scheme.

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14. Modification or Amendments to the Scheme:

14.1 The Transferor Company and the Transferee Company by their respective Boards of Directors ("the Board", which term shall include Committee thereof and /or authorised officers) are hereby authorised and empowered to accept from time to time any modifications or amendments or substitutions of this Scheme or any conditions or limitations which the Central Government and/or Tribunal or any other Authority under law may impose or which may otherwise be considered necessary, desirable or appropriate as a result of subsequent events or otherwise by them (i.e. the Board)and to resolve all doubts, difficulties or questions that may arise whatsoever for carrying out the Scheme and to do and execute all acts, deeds, matters and things as may be necessary for putting the Scheme into effect.

14.2 For the purpose of giving effect to this Scheme or to any modifications or amendments thereof, the Board of Directors of the Transferor Company and/or the Transferee Company are hereby authorised to give such directions and /or take such steps as may be necessary or desirable including any directions for settling any question or doubt or difficulty whatsoever that may arise.

15. Conditionality of the Scheme:

This Scheme is and shall be conditional upon and subject to:

15.1 The Scheme being approved by the requisite majorities in number and value of such classes of persons including the respective shareholders and/or creditors of the Transferee Company and Transferor Company as may be directed by the National Company Law Tribunal, Ahmedabad Bench at Ahmedabad.

15.2 The requisite consent, approval or permission of the Central Government or any other statutory or regulatory authority, which by law may be necessary for the implementation of this Scheme.

15.3 The Scheme being sanctioned by the Tribunal under the applicable provisions the Act.

15.4 The certified copy of the Order of the Tribunal sanctioning the Scheme is filed with the Registrar of Companies, Ahmedabad, by the Transferee Company and Transferor Company.

16. Effect of non-receipt of approvals:

In the event of any of the said sanctions and approvals referred to in the preceding clause not being obtained and/or the Scheme not being sanctioned by the Central Government or other competent authority and/or the Order not being passed as aforesaid, this Scheme shall stand revoked, cancelled and be of no effect, save and except in respect of any act or deed done prior thereto as is contemplated hereunder or as to any rights and/or liabilities which might have arisen or accrued pursuant thereto and which shall be governed and be preserved or worked out as is specifically provided in the Scheme or as may otherwise arise in law.

17 .Costs, Charges and Expenses:

All costs, charges, taxes including duties, levies and all other expenses, if any (save as expressly otherwise agreed) arising out of or incurred in carrying out and implementing this Scheme and matters incidental thereto, shall be borne by the Transferee Company.

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NORFOLK BUSINESS PRIVATE LIMITED * AHMEDABAD

Shilpa Construction Pvt. Ltd. * Ahmedabad

NATIONAL COMPANY LAW TRIBUNAL * AHMEDABAD BENCH

Annexure "B"

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NORFOLK BUSINESS PRIVATE LIMITED

Registered Office : 105, 1st Floor, Chinubhai Centre, Nehru Bridge Corner, Ashram Road, Ahmedabad – 380 009.
CIN : U70100GJ2014PTC133735 Email : Norfolk108@gmail.com Phone : 079-26585075 / 26585076

Annexure-1

List of Assets of Norfolk Business Private Limited (Transferor Company) as on 6th April 2023, to be transferred to Saumya Construction Private Limited (Transferee Company), pursuant to the Scheme to be sanctioned by the Hon'ble National Company Law Tribunal, Bench at Ahmedabad.

Schedule

Part I

Particulars of Freehold Properties

(i) Land: Nil

(ii) Building: Nil

(iii) Plant and Machinery: Nil

Part II

Particulars of Leasehold Properties

(i) Land: Non – Agricultural Land, admeasuring 21655.25 Sq. Mts. being Final Plot No. 29/Part, corresponding to City Survey No. 486/ Part of Town Planning Scheme No. 7 (Khokhara–Mehmedabad),situate at Mithipur (sim), Taluka Maninagar, in the District of Ahmedabad and Registration Sub – District of Ahmedabad – 7 (Odhav), which as per Ahmedabad Municipal Corporation records is the Land of Sub Plot No. A1/A/part (more particularly Sub Plot No. A/1/1) of Final Plot No. (24+29+62+63)/Paiki.

(ii) Building: Nil

(iii) Plant and Machinery: Nil

NOTARY GOVT. OF GUJARAT DILIPSINH M. GOHIL AHMEDABAD-DIST. GUJARAT STATE REGD. NO.NTR / 995 /2009 Expiry dt. 26-02-2024

NORFOLK BUSINESS PRIVATE LIMITED AHMEDABAD

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Part III

A. Particulars of Investment in Shares & Securities :

Investment in Quoted Shares

Name of the Company	No. of equity shares	Face value per share (Rs.)	Current Market Value (Rs.)
Ashima Ltd.	7,395	10	98,650/-
Finolex Industries Ltd.	250	2	43,000/-
Nachmo Knitex Ltd.	4,47,304	10	Nil
Sunil Hitech Engineers Ltd.	200	1	Nil

B. Particulars of Bank Accounts :

Sr. No.	Bank & Branch	Type of Account	Account No.
1	Bank of India, Ellisbridge branch, Ahmedabad	Current	200420110001045
2	Bank of India, Ellisbridge branch, Ahmedabad	Current	200420100000405
3	Axis Bank Ltd., Nehrunagar, Ahmedabad	Current	917020029052148
4	State Bank of India, Mumbai	Current	30143360717
5	State Bank of India, SME Dadar Branch, Mumbai	Current	30940838018

C. Registration with Various Authorities under respective laws, Bodies etc. :

Name of Authority	Nature of registration	Registration Number
INCOME TAX DEPARTMENT	PAN	AAECN7459H
INCOME TAX DEPARTMENT	TAN	MUMN21980A
SALES TAX DEPARTMENT	GSTIN	24AAECN7459H1Z8
EXCISE & CUSTOMS	DGFT IE CODE NO.	0306053462
PROFESSIONAL TAX REGISTRATION NO.		PRC015131530 PEC015134896

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D. VEHICLES : 1. Toyota Innova Car No.GJ-01-RH-4656
Model : INNOVA/2.5 GX / Diesel Year : 2014
Chassis No. MBJ11JV4007492343
Engine No. 2KDU645818

For, **Norfolk Business Private Limited**

Director

NORFOLK BUSINESS PRIVATE LIMITED AHMEDABAD

NATIONAL COMPANY LAW TRIBUNAL AHMEDABAD BENCH

NOTARY GOVT. OF GUJARAT
DILIPSINH M. GOHIL
AHMEDABAD-DIST.
GUJARAT STATE
REGD. NO.NTR/996/2009
Expiry dt.
26-02-2024